

BATES BREWING COMPANY

Profit and Loss Summary, QuickBooks Export | As of October 3, 2026

Quarterly Profit and Loss (USD)

Line	Q2 2026	Q3 2026	Q4 to Oct 3
Revenue, wholesale (US)	\$162,400	\$184,720	\$22,180
Revenue, export (UK + SG)	\$24,600	\$31,950	\$3,840
Revenue, direct (tasting room + bottle club)	\$22,750	\$28,300	\$3,920
TOTAL REVENUE	\$209,750	\$244,970	\$29,940
COGS, grain and adjuncts	(\$31,420)	(\$36,280)	(\$4,510)
COGS, packaging and bottles	(\$24,800)	(\$28,640)	(\$3,550)
COGS, yeast and additives	(\$6,250)	(\$7,180)	(\$890)
GROSS PROFIT	\$147,280	\$172,870	\$20,990
Operating: payroll (year-round)	(\$30,000)	(\$30,000)	(\$10,000)
Operating: utilities	(\$8,420)	(\$9,180)	(\$3,140)
Operating: insurance	(\$4,200)	(\$4,200)	(\$1,400)
Operating: marketing	(\$3,600)	(\$4,150)	(\$820)
Operating: maintenance	(\$5,840)	(\$6,290)	(\$1,210)
Capex, Phase 2 (capitalised)	(\$87,500)	(\$87,500)	\$0
NET OPERATING	\$7,720	\$31,550	\$4,420

Operating account ending balance (QuickBooks reconciled as of October 3, 2026): **\$112,840**. Two Phase 2 capex draws of \$87,500 each posted in July and August. Third and final draw of \$87,500 pending substantial completion.

Outstanding Distributor Receivables

Bucket	Amount	Count of Invoices
0 - 30 days	\$48,210	11
31 - 60 days	\$11,485	3
61 - 90 days	\$3,940	1
Over 90	\$0	0

BLUE RIDGE COMMUNITY BANK

Small Business Loan Statement | Account ending 3340 | Statement Date: October 1, 2026

Loan Summary

Borrower	Bates Brewing Company
Loan purpose	Phase 1 brewery renovation (2022)
Original principal	\$60,000
Principal remaining	\$15,350
Interest rate	5.85% APR fixed
Monthly payment	\$650.00
Next payment due	November 1, 2026
Estimated payoff date	April 2028 at current cadence
Loan status	Current, no late fees

Recent Activity (Last Six Months)

Date	Description	Amount	Principal Applied	Balance After
May 1, 2026	Monthly payment	\$650.00	\$558.10	\$18,250
Jun 1, 2026	Monthly payment	\$650.00	\$560.80	\$17,689
Jul 1, 2026	Monthly payment	\$650.00	\$563.50	\$17,126
Aug 1, 2026	Monthly payment	\$650.00	\$566.30	\$16,559
Sep 1, 2026	Monthly payment	\$650.00	\$569.00	\$15,990
Oct 1, 2026	Monthly payment	\$650.00	\$640.00	\$15,350

GREAT AMERICAN BEER FESTIVAL

Competition Administration | Brewers Association | Boulder, Colorado

Entry Confirmation

Confirmation date	September 12, 2026
Entry number	4471-BBC-EXP01
Brewery of record	Bates Brewing Company
Address of record	412 Stoneridge Mill Road, Asheville, NC 28804
Beer entered	Experimental Single-Origin Imperial Stout
Style category	Category 23, Barrel-Aged Strong Stout
Stated ABV	12.2%
Sample delivery method	Shippo cold-pack, three 750 mL bottles
Sample receipt confirmed	September 15, 2026
Entry fee paid	\$1,425.00
Results announcement	October 8, 2026
Notification channel	Registered mail and transactional receipt

This confirmation is an automated transactional receipt issued by the GABF administration system. No further action is required from the brewery prior to the October 8 results announcement.

XERO UK CHANNEL

Outstanding Invoice Summary, British Craft Imports | Run date October 5, 2026

Xero UK — Outstanding and Recently Settled (GBP)

Invoice	Issue Date	Due Date	SKU Summary	GBP	Status	Days Overdue	Notes
BCI-2026-009	Jul 02, 2026	Aug 01, 2026	Stoneridge Saison (case x 12)	4,500	PARTIAL	65	Short-pay GBP 300; no reason logged
BCI-2026-010	Jul 18, 2026	Aug 17, 2026	Black Hollow Imperial (case x 6)	3,840	PAID	—	Settled Aug 11
BCI-2026-011	Aug 04, 2026	Sep 03, 2026	Father's Reserve (case x 6)	3,250	OVERDUE	32	Invoice not yet settled; follow-up sent
BCI-2026-012	Aug 21, 2026	Sep 20, 2026	Appalachian Pale (case x 12)	4,200	PAID	—	Settled Sep 19
BCI-2026-013	Sep 04, 2026	Oct 04, 2026	Mountain Spring Lager (case x 12)	3,600	OVERDUE	1	One day past due; remittance advised
BCI-2026-014	Sep 12, 2026	Oct 12, 2026	Stoneridge Saison (case x 12)	4,500	OPEN	—	Within terms
BCI-2026-015	Sep 18, 2026	Oct 18, 2026	Black Hollow Imperial (case x 6)	3,840	OPEN	—	Within terms
BCI-2026-016	Sep 23, 2026	Oct 23, 2026	Father's Reserve (case x 6)	3,250	OPEN	—	Within terms
BCI-2026-017	Sep 28, 2026	Oct 28, 2026	Appalachian Pale (case x 12)	4,200	OPEN	—	Within terms

Channel Notes and Pipeline Metrics

- Total British Craft Imports allocation against the 2027 season pipeline: **195 BBL**.
- Three invoices past due as of the run date: BCI-2026-009 (GBP 300 short-pay outstanding), BCI-2026-011 (GBP 3,250 unpaid), BCI-2026-013 (GBP 3,600 one day past due). Total past-due balance GBP 7,150 (approx. USD 9,081 at indicative October rate).
- Total open balance across seven open invoices (two past due, four within terms, one partial short-pay): GBP 22,940 (approx. USD 29,133 at indicative October rate).
- Note on BCI-2026-009: invoice issued for GBP 4,500. Remittance received for GBP 4,200. No accompanying short-pay memo from British Craft Imports. Held in PARTIAL status pending owner review.